



# Expanding Your Business

As your business grows, you may be tempted to expand, but you will need to recognize when the time is right. Consider different ways to expand, and decide which approach makes sense for you.

## When should you expand?

Expanding a business is different from growing it. Growth would be selling more of your product or providing more of your service. Expansion is a step further. It can include product diversification (see pp.194–195), which means adding new products or services alongside your original ones. Expansion could also involve moving into new lines of business and new markets. You may want to expand if your growth has slowed and efforts to increase sales have not worked. This can happen if your product or service becomes outmoded due to old technology or changing tastes, or if its value is underappreciated in your current marketplace. For example, an ice-cream shop

could decide to expand its original range of rich desserts by introducing fresh fruit sorbets to appeal to increasingly health-conscious customers. Or a graphic design studio might expand into offering full-service website building to attract more clients. Keeping up-to-date with consumer news and social and technology trends, as well as carefully tracking your earnings over time, will help you figure out when the time is right to expand.

## Expanding too fast

The main challenge when expanding your business will be managing your time, which will be stretched more thinly over both your original core business and

## Ways to expand

There are various ways to expand your enterprise. As a small business owner, you may want to focus on offering a new product or service, while staying within your existing marketplace. Alternatively, you may be expanding beyond your current location, but with the original product or service, or perhaps combining both strategies. In all cases, you need to research your chosen path, cost it, create a schedule, and adjust your current business plan to ensure the expansion progresses smoothly. Here are a few options for expanding your business:

### Products or services

Creating a complementary or “add-on” product or service to accompany what you already offer, or heading in a different direction with a brand new product or service are both effective ways to expand.



### Acquisitions

Acquiring or investing in a related business may help you create new products or establish a new market in a more cost-effective way.

